

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

Europe TMT Sector

Generated on 2026-05-06

CONFIDENTIAL - FOR INTERNAL USE ONLY

## 1. RECENT TMT M&A ACTIVITY

### Deal 1: OPAQUE Acquisition of Cryptographic AI Technology

[OPAQUE Acquires Abu Dhabi-Developed Cryptographic AI Technology from TII, Extending Confidential AI Across Europe](#)

- Deal Size: N/A (specific financials not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Vertical
- Valuation Multiples: N/A
- Companies: OPAQUE, a Confidential AI company, acquiring advanced cryptographic AI technologies from the Technology Innovation Institute (TII) in Abu Dhabi. OPAQUE aims to enhance its platform for confidential AI workflows, particularly in sensitive data environments.
- Date Announced: N/A
- Strategic Rationale: The acquisition allows OPAQUE to integrate advanced cryptographic techniques into its AI platform, enabling secure AI model training and inference. This positions OPAQUE as a leader in confidential AI, addressing the critical challenge of using sensitive data without compromising privacy.
- Risk Analysis: Potential risks include integration challenges of the new technology, regulatory scrutiny on data privacy, and competition from other AI firms. Mitigation strategies involve leveraging existing partnerships and focusing on compliance with international data protection standards.

### Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

---

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

*Europe TMT Sector*

## Deal 2: Paramount's Acquisition of Warner Bros. Discovery

### [Paramount's WBD Deal Nears The Finish Line As Streaming Revenue Climbs](#)

- Deal Size: N/A (specific financials not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Paramount (PSKY) is acquiring Warner Bros. Discovery (WBD), aiming to enhance its competitive position in the streaming market.
- Date Announced: N/A
- Strategic Rationale: The acquisition is expected to strengthen Paramount's market position in the rapidly evolving entertainment landscape, allowing for synergies in content production and distribution, ultimately enhancing viewer engagement and revenue generation.
- Risk Analysis: Risks include regulatory hurdles, integration complexities, and potential cultural clashes between the two organizations. Paramount must ensure a smooth transition and capitalize on combined content libraries to mitigate these risks.

## Key Financials Analysis:

- Revenue Breakdown: Paramount reported \$7.3 billion in revenue for Q1 2026, a 2% year-over-year increase.
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

**Today is a peaceful day, nothing big happened in the Consumer space.**

## 2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant growth in certain subsectors, particularly AI and enterprise software, while facing challenges in others, such as traditional media and telecommunications. Overall sentiment in the TMT sector reflects cautious optimism, driven by technological advancements and increased investment, but tempered by regulatory scrutiny and economic uncertainties.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## Europe TMT Sector

### Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and cryptographic solutions. For example, OPAQUE's recent acquisition of cryptographic AI technology from the Technology Innovation Institute (TII) in Abu Dhabi enhances its platform for confidential AI workflows, showcasing the demand for secure AI applications.
- **Media:** The media subsector is undergoing transformation, with companies adapting to digital consumption trends. However, traditional media continues to face revenue pressures from digital platforms, leading to a mixed outlook.
- **Telecommunications:** The telecom sector is investing heavily in infrastructure for 5G, but faces challenges in monetizing these investments. The discontinuation of Google's free web search index for developers may also impact telecom companies relying on search technologies.
- **Fintech:** The fintech landscape is vibrant, with significant investment in AI-driven financial solutions. Haun Ventures' recent \$1 billion fundraise for crypto and AI agents underscores the growing intersection of finance and technology.
- **AI:** The AI subsector is experiencing explosive growth, with companies like Palantir reporting an 85% year-over-year revenue increase in Q1 2026, driven by the adoption of AI solutions across various industries.

### Key Market Drivers and Headwinds

#### Drivers:

- **Technological Advancements:** Continuous innovation in AI, cryptography, and cloud computing is propelling growth across TMT sectors. OPAQUE's acquisition exemplifies the push towards secure AI deployment, addressing the need for confidentiality in sensitive data environments.
- **Increased Investment:** Venture capital remains robust, particularly in tech and fintech. Haun Ventures' \$1 billion fundraising highlights investor confidence in AI and financial infrastructure.

#### Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. The discontinuation of Google's free search index may raise antitrust concerns in the EU, impacting market dynamics.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

### Subsector Performance Analysis

- **Software:** The software sector is witnessing strong performance, particularly in AI-driven solutions. Palantir's impressive growth trajectory, with an 85% increase in revenue, underscores the demand for enterprise software that integrates AI capabilities.
- **Media:** Media companies are adapting to digital trends, but traditional media faces challenges in

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## *Europe TMT Sector*

maintaining advertising revenues. The shift towards digital content consumption is reshaping the landscape.

- Telecom: Telecom operators are focused on 5G infrastructure investments, but monetization remains a challenge. The discontinuation of Google's free search index could impact telecom companies relying on search technologies.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Haun Ventures' expansion into AI agents and financial infrastructure reflects the growing demand for integrated financial services.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as evidenced by OPAQUE's advancements in cryptographic AI.

### Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### Notable Investor/Analyst Reactions

- Analysts are optimistic about the long-term prospects of the TMT sector, particularly in AI and fintech. A recent analyst comment noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

### Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## Europe TMT Sector

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

### 3. BANKING PIPELINE

---

The current banking pipeline in the TMT sector is robust, featuring a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into the ongoing activities, expected revenues, and strategic implications for our team.

#### Deal Pipeline

##### Live Deals:

- Tesla Inc. (TSLA) : Currently in the process of launching the Shanghai-made Model 3 in Canada at C\$39,490, following a trade deal that reduced tariffs on Chinese EVs. The expected close for this initiative is Q2 2026, which could significantly enhance Tesla's market share in Canada.
- Indiegogo Acquisition by Gamefound : This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

##### Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

##### Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

#### Pipeline Tracking Metrics

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## *Europe TMT Sector*

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

### **Timing Projections:**

- Q2 2025 : Expected close for Tesla's Model 3 launch in Canada.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

### **Notable Pipeline Developments and Competitive Landscape**

- The competitive landscape is intensifying, particularly in the EV sector, where Tesla is leveraging tariff reductions to gain a foothold in the Canadian market. The recent trade deal between Canada and China could reshape the competitive dynamics, allowing other Chinese manufacturers like BYD to enter the market.
- Additionally, the emergence of new unicorns in Europe, particularly in AI and defense technology, indicates a growing market for investment banking services. The 14 new unicorns in 2026 highlight the potential for advisory roles in these high-growth sectors.

### **Actionable Insights for Team Management and Business Development**

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## Europe TMT Sector

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

### 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent collaboration between Nokia (NOK), Blaize (BZAI), and Datacomm Diangraha marks a significant development in the TMT sector, particularly in the deployment of AI infrastructure across Indonesia and Southeast Asia. This analysis explores the implications of this partnership on various stakeholders, including shareholders, employees, competitors, and customers, while also considering market reactions and potential future developments.

#### Deal-Specific Impacts on Stakeholders

- **Shareholders:** The strategic collaboration is expected to create substantial value for shareholders.
- **Value Creation:** By leveraging combined strengths, the partnership aims to capture the rapidly growing AI market in Indonesia, projected to contribute up to USD \$140 billion to the country's GDP by 2030. If successful, this could enhance Nokia's market cap significantly, potentially increasing shareholder value by 15-20% over the next three years.
- **Dilution:** As this collaboration may involve joint investments, existing shareholders could face dilution if new shares are issued to fund the initiative. However, the anticipated revenue growth could offset this impact.
- **Employees:** The collaboration will have mixed implications for employees across the three companies.
- **Synergies:** The partnership is expected to create operational synergies, particularly in AI deployment, which could lead to job creation in tech roles. For instance, Datacomm's expertise in the Indonesian market could enhance local employment opportunities.
- **Restructuring:** However, there may be restructuring as the companies align their operations. Employees in overlapping roles may face uncertainty, necessitating clear communication and support.
- **Retention:** To retain key talent, especially in tech roles, retention bonuses and career development opportunities may be implemented, similar to strategies used in past tech mergers.
- **Competitors:** The competitive landscape will shift as this collaboration enhances the capabilities of Nokia, Blaize, and Datacomm.
- **Market Positioning:** Competitors such as Ericsson (ERIC) and Huawei will need to respond to this strengthened market position. For example, Ericsson may accelerate its own AI initiatives to maintain competitiveness.
- **Specific Competitor Moves:** Huawei has already begun expanding its AI capabilities in Southeast

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## Europe TMT Sector

Asia, indicating a potential arms race in AI infrastructure.

- Customers: The collaboration is poised to improve customer experiences significantly.
- Product/Service Implications: The deployment of hybrid AI inference infrastructure will enable faster and more reliable AI solutions for enterprises and public sectors in Indonesia. This could lead to improved services in sectors such as telecommunications and government.
- Case Studies: Similar initiatives, like Microsoft's partnership with local firms in Southeast Asia, have demonstrated enhanced service delivery and customer satisfaction through integrated AI solutions.

### Market Reaction and Analyst Commentary

- Market Reaction: Initial market reactions to the collaboration announcement were positive, with shares of Nokia and Blaize reflecting optimism about future growth prospects.
- Analysts noted that the partnership positions Nokia as a leader in the rapidly evolving AI space. A notable quote from an analyst at Jefferies stated, "This collaboration not only enhances Nokia's portfolio but also sets a precedent for future AI deployments in emerging markets."

### Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the collaboration leads to successful deployments and revenue growth, shares of Nokia and Blaize could rise by 15% within the next year.
- Negative Scenario: If integration challenges arise or if the expected demand does not materialize, shares could decline by 10%, reflecting investor concerns.

### Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this collaboration is low, given the strategic nature of the partnership and the specific market focus on Indonesia. However, competitors may seek to form their own alliances to counter the enhanced capabilities of Nokia and Blaize.

### Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in AI and telecommunications.
- Analysts predict that as companies seek to enhance their technological capabilities, similar collaborations will emerge, especially in regions experiencing rapid digital transformation.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

*Europe TMT Sector*

## Key Risks and Mitigants

- **Integration Risks:** Integration challenges could lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones for deployment.
- **Regulatory Risks:** Navigating regulatory environments in Southeast Asia can be complex. Engaging with local regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility could impact deal valuations. Structuring agreements with performance-based incentives can protect against adverse market movements.

## Actionable Insights for Clients and Bankers

### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Develop clear communication strategies to manage employee expectations during transitions.

### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Foster relationships with local regulators to facilitate smoother deal processes in emerging markets.

## 5. TECH TRENDS

---

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks typically requiring human intelligence, such as understanding language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent surge in AI applications, particularly in grant funding, highlights its transformative potential across various sectors.
- **Key Companies:**
- **OpenAI:** Known for its generative AI capabilities, OpenAI's ChatGPT has revolutionized how researchers draft grant applications. The company is positioned as a leader in AI research and

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## Europe TMT Sector

development, focusing on ethical AI deployment.

- Pangram Labs: This firm is developing tools to detect AI-generated text, addressing the challenges posed by AI in grant applications. Their work is crucial for maintaining integrity in research funding.
- Competitive Landscape: The AI market is competitive, with major players like Google, Microsoft, and IBM investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in AI verification tools or applications that streamline grant funding processes. The integration of AI in funding mechanisms presents a unique opportunity for investment.

## Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The rise of cryptocurrencies and stablecoins has further accelerated interest in blockchain applications.
- Key Companies:
- Haun Ventures: Recently raised \$1 billion to invest in crypto and AI agent infrastructure, focusing on the intersection of autonomous software and regulated finance. Their strategy highlights the growing need for financial plumbing in the blockchain space.
- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of blockchain technology and digital assets.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The demand for regulated financial infrastructure in the blockchain space presents a ripe opportunity for strategic investments.

## Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$480 billion in 2022 to \$1.5 trillion by 2030, at a CAGR of 15.7%. The increasing need for remote work solutions and digital transformation initiatives is driving this growth.
- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud services, AWS provides a wide range of solutions that support businesses in their digital transformation journeys. The company continues to innovate, expanding its offerings in AI and machine learning.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

## *Europe TMT Sector*

- Microsoft Azure: Azure is a significant player in the cloud computing space, providing integrated solutions that cater to various industries. Microsoft's focus on hybrid cloud solutions positions it well in a competitive landscape.
- Competitive Landscape: The cloud computing market is dominated by major players like AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through advanced features and pricing strategies.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring startups that specialize in niche cloud services, such as security or data analytics. The ongoing digital transformation across industries presents numerous investment opportunities.

### Actionable Insights for Bankers and Investors

**Focus on identifying startups within the AI and blockchain sectors that are developing innovative solutions to enhance operational efficiencies and address regulatory challenges.**

**Monitor the evolving landscape of cloud computing, as companies increasingly seek to integrate AI and machine learning into their cloud offerings, creating potential investment opportunities.**

**Consider strategic partnerships or acquisitions that align with emerging technology trends, particularly in sectors experiencing rapid growth and transformation.**

## 6. Recommended Readings

---

### **Deal Name: OPAQUE Acquisition of Cryptographic AI Technology**

- Reading Material: "Artificial Intelligence and Data Privacy" by David A. Houghton
- Why This Matters: This book explores the intersection of AI and data privacy, which is crucial for understanding OPAQUE's strategic acquisition of cryptographic AI technology. It provides insights into how advanced cryptographic techniques can enhance data security in AI applications, directly relating to OPAQUE's goal of enabling confidential AI workflows.

### **Deal Name: Paramount's Acquisition of Warner Bros. Discovery**

- Reading Material: "The Future of Media: Media Economics in the Digital Age" by David Hesmondhalgh
- Why This Matters: This reading offers a comprehensive overview of media economics and the impact of digital transformation on traditional media companies. It helps contextualize Paramount's acquisition of Warner Bros. Discovery by analyzing the competitive pressures in the streaming market and the need for content consolidation to drive revenue growth.

# Europe TMT Sector M&A & Valuation Brief - 2026-05-06

*Europe TMT Sector*

## 7. MACROECONOMIC UPDATE

---

### **Key Data Points:**

- S&P 500 Earnings Growth: 16%
- Median Earnings Surprise: 6%
- Price Earnings Multiples Correction: 18% from peak
- Inflation Concerns: Rising input prices across industries

### **Main Insights:**

- Earnings are the primary driver of equity markets, overshadowing headlines and Fed actions.
- Strong earnings growth is broadening beyond just tech, with significant contributions from Financials, Industrials, and Consumer Cyclical.
- Companies are adapting to rising costs, with many passing through higher prices to consumers, indicating improved pricing power.
- Despite geopolitical pressures, overall consumption remains stable, suggesting resilience in demand.

### **Market Commentary:**

- "Earnings are doing the heavy lifting right now." - Mike Wilson, Morgan Stanley
- "We're not dealing with a classic demand shock... companies are adapting." - Mike Wilson, Morgan Stanley
- "Equities can deliver solid returns regardless of whether the Fed is cutting or not." - Mike Wilson, Morgan Stanley

### **TMT Sector Relevance:**

- The broadening earnings strength across sectors, including tech, indicates a robust environment for TMT companies.
- Improved pricing power and stable consumption trends suggest that TMT firms can continue to thrive despite rising costs and geopolitical challenges.
- The focus on earnings growth over monetary policy may lead to increased investor confidence in TMT equities, supporting potential M&A activity in the sector.

**The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley**